KEY TERMS

- **Purchase Book:** Transactions relating to credit purchases are recorded in Purchase Book. The main objective of vouching purchase book is to ensure that all the goods purchased during the year are being received and the client makes payment only for the goods being delivered by the supplier.
- **Sales Book:** Transactions relating to credit sales are recorded in Sales Book.
- **Credit Note:** Document authorizing deduction of amount from the amount receivable from the customer for goods returned.
- **Debit Note:** Document authorizing deduction of amount from the amount payable to the supplier for goods returned.
- **Purchase Invoice:** Document containing description of goods purchased, quality, rate, amount payable, name of the supplier, date of purchase etc.
- **Sales Invoice:** Document containing description of goods sold, quantity, rate, amount receivable, name of the customer, date of sale etc.
- **Goods Sent on 'sale or Return' Basis:** When goods are delivered to a customer on condition that if goods are not approved within a particular period the customer can return the goods. Such a type of sale is called as Goods on 'sale or return' basis.
- **Stores Ledger:** Stores is a place where different kinds of materials, consumables, spare parts are kept under the control of a person known as a storekeeper. The storekeeper maintains a ledger known as Stores Ledger where he accounts quantity and value of materials received, issued to production department and balance quantity of materials remains in the stores.

EVALUATION

RQGF4W

I. Multiple Choice Questions:

1. Purchases book records_____
   (a) Credit purchases only
   (b) cash purchases only
   (c) both cash and credit purchases
   (d) none of the above

2. Which one of the following is a relevant voucher for vouching of 'Sales Return'?
   (a) Debit Note issued by us
   (b) Debit Note issued by opposite party
   (c) Credit Note issued by opposite party
   (d) Bank column of cash book

3. Payment for goods purchased should be vouched with the help of _____
   (a) Creditors statement
   (b) Correspondence with suppliers
   (c) Cash memos
   (d) Ledger accounts

4. Purchases returns should be vouched with the help of_____
   (a) Bought Notes
   (b) Credit Notes
   (c) Goods inward Book
   (d) Cash Book

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